

MARKETING EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair
Internet Segments	Search Engine Advertising	5,000	14.16	4,500	15.00	4,000	17.78	4,000	17.78	17,500	15.87
	Website Maintenance	1,150	3.26	1,150	3.83	1,150	5.11	1,150	5.11	4,600	4.17
	Brand Advertising (Note 1)	1,502	4.25	1,350	4.50	1,200	5.33	1,125	5.00	5,177	4.69
	Celebrity Endorsements (Note 2)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Internet Marketing	7,652	21.68	7,000	23.33	6,350	28.22	6,275	27.89	27,277	24.73
		\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair
Wholesale Segments	Brand Advertising (Note 1)	8,498	4.26	7,650	4.50	6,800	5.33	6,375	5.00	29,323	4.69
	Rebate Redemption	2,496	1.25	2,125	1.25	1,594	1.25	1,594	1.25	7,809	1.25
	On-Time Delivery	1,498	0.75	1,275	0.75	956	0.75	956	0.75	4,685	0.75
	Retailer Support	4,000	2.00	4,000	2.35	1,925	1.51	1,925	1.51	11,850	1.90
	Celebrity Endorsements (Note 2)	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Total Wholesale Marketing	16,492	8.26	15,050	8.85	11,275	8.84	10,850	8.51	53,667	8.59

Note 1: Brand advertising expenditures in each region are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.

Note 2: Expenditures for celebrity endorsements are allocated to the internet and wholesale segments based on each segment's percentage of total branded pairs sold in the region.

ADMINISTRATIVE EXPENSES		North America		Europe-Africa		Asia-Pacific		Latin America		Total	
		\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair	\$000s	\$/Pair
Executive Salaries (Note 1)		1,599	0.68	1,361	0.68	1,021	0.68	1,021	0.68	5,000	0.68
Corporate Overhead (Note 2)		3,197	1.36	2,721	1.36	2,041	1.36	2,041	1.36	10,000	1.36
CSRC	Ethics Training / Enforcement	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Initiatives	Cafeteria / On-Site Child Care	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Ventilation / Lighting / Safety	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
	Supplier Code of Conduct	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Fixed Costs of Idled Production Facility (Note 3)		0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Total Administrative Expenses (Note 4)		4,796	2.04	4,082	2.04	3,062	2.04	3,062	2.04	15,000	2.04

Note 1: Executive salaries totaled \$5 million in Year 10 and increase at a rate of 3% annually.

Note 2: Corporate overhead expenses include \$1.00 for each pair of production capability (without overtime) company-wide and \$1 million for each production facility. Corporate overhead will increase or decrease as company-wide footwear production capability increases or decreases. Also, if the company holds celebrity endorsement contract(s) but sells no branded pairs (private-label sales only), then the total annual cost of celebrity contracts is assigned to corporate overhead.

Note 3: If no pairs are produced at a production facility in a given year, the annual maintenance and depreciation expenses (fixed costs) for the facility are treated as administrative expenses rather than allocated to the production costs at other active facilities.

Note 4: Administrative expenses are calculated for the company in total and then allocated to the branded segments based on each segment's percentage of total branded pairs sold. For accounting purposes and for purpose of profit/loss calculations, no administrative expenses are allocated to private-label sales.

